PRACTICE QUESTIONS - ETHICAL THREATS

You are on secondment to the ethics department of your firm. The ethics partner has asked for your assistance in evaluating several engagements, with a focus on identifying any ethical threats. The following situations have been referred to your firm's ethics partner by other partners in the firm.

Flightlane plc (Flightlane)
As a result of your enquiries, you have learned that the audit team was invited to, and subsequently attended, Flightlane's annual office party. The client provided each member of the audit team with a free voucher worth £40, which could be redeemed at the venue for drinks during the party. The audit senior, who has worked on the audit for the last 4 years, has informed you that the audit team has attended the party each year as part of developing good client relations.

Blankow School Ltd (Blankow)
Blankow operates a school that charges fees to the parents of children attending. Blankow's financial controller unexpectedly left Blankow last month. Blankow's directors have requested that Leanne Young assists the school with the preparation of its financial statements for a period of 3 weeks before the external audit starts. Leanne was the audit senior on the prior year audit and the current intention is that she will continue in this role.

Straff Ltd (Straff)
As a result of your enquiries, you have established that the tax department in your firm performed the taxation computation for Straff as well as performing the audit. The tax return includes a significant number of transactions involving the purchase and sale of properties in various international locations, which were identified by reviewing the bank statements for the investment account of the company.

The managing director made it clear that he expects your firm to address any queries that are raised by the tax authorities in respect of these transactions.

Questions:

QUESTION 1

Evaluate the Flightlane plc engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

QUESTION 2

Evaluate the Blankow School Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

QUESTION 3

Evaluate the Straff Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

(Section Total: 30 marks)